Signed by
Transition RAC
RADIX DAO LLC

Dispute Resolution & Arbitration Policy

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1. Purpose

This policy defines how disputes within the DAO are identified, escalated, and resolved. It exists to ensure that disagreements between participants, bodies, and role holders are handled fairly and transparently, without centralizing arbitral authority in any single actor and without allowing unresolved conflict to obstruct legitimate governance.

The policy is not a substitute for governance — it is the procedural overlay that ensures disputes either get resolved at the lowest practical level or escalate cleanly to a Governance Proposal where Governance Participants make the final determination.

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2. Scope

This policy applies to disputes involving:

- Working Groups (intra-group and inter-group)
- Treasury Signers (refusals, delays, or contested execution decisions)
- RAC members (recusal disputes, interpretation challenges)
- Governance processes (proposal validity, voting procedure, Compliance Challenge application)
- Proposal interpretation (where a passed proposal admits more than one reasonable execution path)
- Execution disagreements between role holders

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3. Guiding Principles

3.1 DAO Sovereignty

Within the DAO's internal governance, disputes are resolved through Governance Proposal: no body — including the RAC — may impose a binding resolution that overrides a Governance Proposal or that pre-empts the right of Governance Participants to decide a matter through the standard pipeline. This internal process is the **Tier 1 governance/dispute-resolution process** to which **Operating Agreement §14.1A** defers before arbitration. It is not the final legal forum: where the pre-arbitration process is exhausted or an exception under OA §14.1A applies, a dispute is finally resolved by arbitration under **OA §14.2** (LCIA Rules, London seat), with urgent interim relief available from the English High Court under **OA §14.3**. The internal process does not override that arbitration backstop (see §10).

3.2 Minimal Escalation

Disputes should be resolved at the lowest practical level. Escalation is appropriate when good-faith resolution has been attempted and has failed — not when one party prefers a higher forum. Premature escalation wastes the time of Working Groups and the RAC and undermines the credibility of the dispute process.

3.3 Transparency

The existence of a dispute, the parties involved, the steps taken to resolve it, and the outcome must all be documented and published on the governance forum. Limited confidentiality is permitted only where required to protect security-sensitive information, an ongoing investigation, or a participant's legitimate privacy interests, and any such confidentiality must be disclosed and justified in the public record.

3.4 Neutral Facilitation

No actor judges a dispute they are involved in. RAC members recuse from dispute matters where they are a party or have a material conflict of interest under the Conflict of Interest Policy. Working Group Stewards recuse from mediating disputes involving their own group's interests against a counterparty. Where the natural forum is conflicted, the dispute escalates one level.

3.5 Proportionality

The resolution mechanism should match the severity of the dispute. A coordination disagreement between two contributors does not require a Governance Proposal. A contested execution refusal that risks treasury funds may require immediate escalation. The escalation ladder in §5 is the default; participants may shortcut it where the nature of the dispute clearly warrants a higher forum, with reasons recorded.

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4. Types of Disputes

The four categories below are not mutually exclusive — a single matter may sit in more than one — but they help identify the appropriate procedural path.

4.1 Operational Disputes

Operational disputes are disagreements about how work gets done within or between Working Groups: priorities, coordination, delivery responsibility, scope. These are typically resolved within the relevant Working Group(s) at Level 1 or Level 2 of §5.

Examples:

- Working Group disagreements over scope ownership
- Coordination issues between two Working Groups on a shared deliverable
- Delivery conflicts between contributors

4.2 Execution Disputes

Execution disputes concern whether and how a passed Governance Proposal is being carried out. They typically involve Treasury Signers, the Governance Operator, or other role holders responsible for converting a governance decision into action.

Examples:

- Signer refusal to execute (see §7)
- Disagreement on proposal interpretation when more than one execution path is plausible
- Delays in execution beyond the windows defined in the Execution & Treasury Actions Policy or the Governance Continuity Framework §4.2

4.3 Governance Disputes

Governance disputes question the validity or interpretation of governance processes themselves — whether a proposal was correctly classified, whether a vote met its requirements, whether a Compliance Challenge was filed on valid grounds, or whether a governance document has been correctly applied.

Examples:

- Proposal validity challenges
- Voting procedure concerns
- Compliance Challenge disagreements (interaction with §13)

4.4 Misconduct Disputes

Misconduct disputes allege that a role holder has breached the standards expected of their position. These are escalated to the RAC and, where confirmed, may trigger removal procedures under the Elections & Role Governance Policy §10 or sanctions under the Code of Conduct.

Examples:

- Abuse of role
- Conflict of interest violations
- Negligence in the performance of role duties

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5. Resolution Levels

Disputes are resolved through escalating levels. A party may not skip levels without recorded justification.

Level 1 — Direct Resolution

The parties attempt to resolve the dispute directly, in good faith, within the timeframes defined in DAO Parameters §6C. The Level 1 attempt is mandatory unless the nature of the dispute (e.g., alleged misconduct, security risk) makes direct engagement inappropriate. The attempt must be documented — a forum thread, a recorded meeting, or an exchange of written positions — so that a later level can verify the attempt was made and on what terms.

Level 2 — Working Group Resolution

If Level 1 fails to resolve the dispute within its window, the matter is escalated to the relevant Working Group(s) for mediation. Where the dispute crosses Working Group boundaries, the Strategic Coordination Working Group may assist. The Working Group facilitator must be impartial — a Steward with a direct interest in the outcome recuses themselves under §3.4 and the Conflict of Interest Policy. Level 2 resolution is non-binding but produces a written recommendation that the parties are expected to accept absent serious cause.

Level 3 — RAC Review

If Level 2 fails, or where the dispute concerns governance process itself, the RAC reviews the matter. The RAC's function at Level 3 is procedural: it confirms that the governance rules have been correctly applied, issues a formal interpretation where the documents are ambiguous, and may recommend a remedy. The RAC does not impose substantive outcomes beyond procedural enforcement — a finding that "the rules require X" is within its authority; a determination that "the better policy is Y" is not.

Level 4 — DAO Decision

If escalation continues past Level 3, or where Level 3 cannot resolve the matter without overstepping its procedural authority, the dispute is submitted as a Governance Proposal under the Proposal & Voting Framework. Governance Participants decide. This is the final authority **within the DAO's internal dispute process** and binds all parties to that process. It does not displace the arbitration backstop in Operating Agreement Article XIV: a matter that cannot lawfully be decided by community vote, or that falls within an exception in OA §14.1A (including disputes with third

parties and allegations of wilful misconduct, gross negligence, or fraud), proceeds to arbitration under OA §14.2 rather than being concluded here.

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6. Emergency Disputes

Where a dispute involves a security risk, a treasury risk, or an urgent operational threat, the standard escalation ladder may be bypassed. The Emergency & Safeguards Policy applies and the RAC may take temporary protective action within its defined limits while the dispute is resolved through the appropriate level. Any emergency action taken under this provision is subject to the disclosure and ratification requirements of the Emergency & Safeguards Policy.

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7. Signer Dispute Handling

This section operates alongside Treasury Signers Rules §9 (valid refusal grounds) and the Governance Continuity Framework §4.2 (forced-execution backstop). Where a Treasury Signer refuses to execute a passed proposal, this section governs how the refusal is reviewed and resolved.

Valid Grounds for Refusal

A signer may refuse execution on the grounds defined in Treasury Signers Rules §9, including:

- The proposal text is inconsistent or ambiguous
- Required authorization is missing or defective
- Execution would create a legal or security risk

Refusal on grounds outside this list is itself a Selective Obstruction matter under Treasury Signers Rules §9A and may give rise to a misconduct dispute under §4.4.

Process

1. The refusing signer documents the refusal in writing to the governance forum and to the RAC within the Signer Response Time (DAO Parameters §6C)
2. The dispute is reviewed by the relevant Working Group (typically the body that proposed the underlying action) within the Level 2 window
3. If unresolved at Level 2, the matter escalates to the RAC for procedural review under §5 Level 3
4. If the RAC determines the refusal was invalid and the proposal remains unexecuted past the 10-business-day backstop window in the Governance Continuity Framework §4.2, the RAC may instruct remaining signers to proceed
5. If the RAC finds the refusal was made in bad faith or for grounds outside §9, the matter may also be referred to misconduct procedures under the Code of Conduct and the Elections & Role Governance Policy §10

8. Governance Interpretation

Where ambiguity exists in a governance document — the Charter, an operational policy, the DAO Parameters Registry, or a passed proposal — the RAC may publish a formal interpretation. The interpretation is binding on operational matters until challenged. A challenge proceeds as a Governance Proposal under the Proposal & Voting Framework; if the proposal passes, the RAC's interpretation is overridden by the result of the vote. The RAC's interpretive authority is therefore provisional, not final.

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9. Misconduct Handling

Allegations of misconduct must be supported by evidence and submitted in writing to the RAC (or, where the alleged conduct involves a RAC member, to the Governance & Legal Working Group). The RAC reviews the matter within the Misconduct Review Window (DAO Parameters §6C), gives the accused the opportunity to respond, and issues a finding. Where misconduct is confirmed, available remedies include censure under the Code of Conduct, removal under the Elections & Role Governance Policy §10, and — for self-dealing or fraud — a Governance Proposal to recover misappropriated funds.

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10. Arbitration Limits and the Operating Agreement

No entity within the DAO may unilaterally impose a binding substantive outcome on a dispute, override a Governance Proposal, or act as a final judge of the merits outside the governance system. The RAC's procedural-enforcement authority does not extend to substantive determinations beyond what the governance documents already require, and Working Groups have no authority to bind one another beyond the recommendations issued at Level 2. Final substantive authority within the DAO's internal process is Level 4 — Governance Proposal — and that is intentional.

Relationship to Operating Agreement Article XIV. This policy is the Tier 1 governance/dispute-resolution process that **Operating Agreement §14.1A** requires parties to use before commencing arbitration. The internal levels in §5 are a **condition precedent** to arbitration, satisfied on the earlier of completion of this process, the elapse of 30 days from submission without resolution, or the written agreement of all disputing parties to proceed (OA §14.1A). Where the condition is satisfied or an OA §14.1A exception applies, the dispute is finally resolved by arbitration under **OA §14.2** (LCIA Rules, London seat, Marshall Islands governing law), with urgent interim relief from the English High Court under **OA §14.3**. Nothing in this policy claims final legal authority over a matter that OA Article XIV commits to arbitration.

Condition of participation (OA §14.4). As a condition of participating in the governance system of the Company, each Governance Participant agrees that disputes

brought by or against them in that capacity — including disputes arising from the exercise of governance rights, the outcome of any vote or proposal, or the application of the Charter or operational policies to them — shall, as a first resort and to the fullest extent applicable, be submitted to this Tier 1 process before commencing any other legal proceedings or arbitration, without prejudice to the right to arbitrate under OA §14.2 once this process is exhausted or an OA §14.1A exception applies.

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11. Documentation

Every dispute escalated past Level 1 must be documented with a summary of the issue, the parties involved, the actions taken at each level, and the outcome. The record is published on the governance forum at the conclusion of the dispute, with any redactions justified per §3.3. Sensitive details — security information, identity information that would expose a participant to risk, or details under regulatory confidentiality — may be partially confidential if required, with the existence of the confidentiality disclosed.

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12. Abuse Prevention

The dispute process exists to be used and must not be weaponised to obstruct legitimate decisions. To prevent abuse, the RAC may dismiss frivolous disputes at any level with a written reason, may apply heightened evidentiary expectations to a participant who has filed repeated frivolous disputes, and may refer persistent abusive behaviour to the Code of Conduct enforcement process. The Abuse Threshold in DAO Parameters §6C is the operative cap; it is enforced by the RAC subject to community review.

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13. Interaction with the Compliance Challenge

The Compliance Challenge is a specific governance safeguard defined in the Proposal & Voting Framework, with its own filing thresholds, windows, and procedural requirements. Both mechanisms are procedural and neither reaches the substance of a decision; they differ in timing and target.

- A **Compliance Challenge** attacks a specific published decision, within a 48-hour window, on the sole ground that it breaches the Charter or a governance process document (**Proposal & Voting Framework §8.2**).
- A **dispute** is the broader review of how the rules were applied — including by role holders, between bodies, and outside any decision window — under §4 of this policy.

Filing a dispute does not toll the Compliance Challenge Window, and the existence of an open dispute does not automatically grant standing to file a Compliance Chal-

lenge. Compliance Challenge procedure remains exclusively defined by the Proposal & Voting Framework.

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14. Timeframes

Response times, escalation windows, and resolution expectations are defined in DAO Parameters §6C. The parameters cover Level 1 Resolution Window, Level 2 Mediation Window, RAC Review Window, Max Escalation Time, Signer Response Time, Signer Dispute Escalation Time, Misconduct Review Window, Governance Escalation Threshold, and Abuse Threshold. Changes to these timeframes require a Governance Proposal amending DAO Parameters §6C.

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15. Relationship to Other Policies

This policy operates alongside:

- **Proposal & Voting Framework** — Governance pipeline for Level 4 disputes; Compliance Challenge procedure (§13)
- **Code of Conduct** — Behavioural standards and the enforcement process for misconduct findings
- **Conflict of Interest Policy** — Recusal grounds for facilitators and reviewers
- **Treasury Signers Rules §9, §9A, §15** — Valid refusal grounds, Selective Obstruction, and Emergency Signer Reserve
- **Governance Continuity Framework §4.2** — Forced-execution backstop for unexecuted proposals
- **Execution & Treasury Actions Policy** — Execution pipeline and authority
- **Emergency & Safeguards Policy** — Emergency action authority for security and treasury risk
- **Elections & Role Governance Policy §10** — Removal of role holders confirmed to have engaged in misconduct
- **Contributor Compensation Policy §6.3A.3** — Award challenges; where the Permanent RAC is the engaging body the challenge bypasses Level 3 and is decided at Level 4, since the RAC does not review a challenge to its own award
- **Contributor Compensation Policy §6.6.4** — Referral of a continuity-critical designation; where the Permanent RAC is the engaging body the referral bypasses Level 3 and is decided at Level 4, since the RAC does not review its own designation
- **Contributor Compensation Policy §6.7** — Provider performance complaints, handled at Level 3; where the Permanent RAC is the engaging body the complaint bypasses Level 3 and is decided at Level 4, since the RAC does not assess the performance of a provider it engaged
- **RAC Mandate** — RAC oversight authority and limits at Level 3
- **DAO Parameters Registry §6C** — Dispute resolution parameters

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16. Amendments

*Amendment procedures and classification requirements are defined in the **Governance Maintenance & Upgrade Framework**.*

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17. Guiding Principle

Disputes should be resolved with structure, not power.